Operating Margin

The profitability of a company before the incidence of tax, miscellaneous income and interest costs is indicated by the operating margin. The operating margin can be arrived at by deducting, selling, general and administrative expenses from the gross profit, and expressing it as a percentage of sales:

$$\text{Operating margin} = \frac{\text{Gross profit} - \text{Selling, general \& admin, expenses}}{\text{Sales}} \times 100$$

Illustration

The relevant information in the results of Patel Nair Ltd. was:

	Previous Year *(Rs. lakh)*	Latest Year *(Rs. lakh)*
Sales	3000	4000
Cost of goods sold	2400	3200
Gross profit	600	800
Selling, general and administration expenses	400	500
Operating profit	200	300
Operating margin (%)	6.33	7.50

There was an improvement in the operating margin by 1.17%. One of the reasons for this could be that operating expenses did not increase as much as the sales. Sales grew by 33% as did the gross profit, whereas operating expenses grew by 25%. This could be one of the reasons though not the only one. In another situation, despite the sales going up the gross margin may decrease and costs increase resulting in a fall in the operating margin. Normally the operating margin should improve with sales since costs do not usually rise at the same rate. In a recession, or at a time of high inflation, the reverse can be true. Costs may increase at a faster rate than sales and gross margins may also fall.

An investor must always examine the operating margin ratio as it indicates the likely reasons for an improvement, or a deterioration, in a company’s profitability and one must ascertain the actual causes for this.